UNITED STATES DISTRICT COURT
SOUTHERN DISTRICT OF NEW YORK
DANIEL PATRICK MOYNIHAN UNITED STATES COURTHOUSE
OFFICE OF THE CLERK
500 PEARL STREET
NEW YORK, NEW YORK 10007-1312

Tammi M. Hellwig
CLERK

March 9, 2026

WhyDrs
Attn: Mr. John Wooten
99 Wall Street, #4640
New York, NY 10005

Dear Mr. Wooten,

Enclosed is the Verified Complaint from Case 07-CV-990. Reviewing the estimate I sent you, I see that I committed a typing error. It seems that 45 pages at $0.50/page is **$22.50** not $27.50. I apologize sincerely. I routinely proofread my documents, but somehow I managed to mail yours without reviewing it.

Instead of having a refund processed, which could take a month, I have taken the liberty of attaching a $5.00 bill. Crass and not professional, but at least timely. Once again, please forgive me for the error.

Sincerely,

S. Klimek
Correspondence Clerk
Records Management

PLEASE RETURN A COPY OF THIS LETTER WITH YOUR REMITTANCE

UNITED STATES DISTRICT COURT
SOUTHERN DISTRICT OF NEW YORK

----------X

OLDE MONMOUTH STOCK TRANSFER CO., INC., :

Plaintiff, :

-- against -- :

DEPOSITORY TRUST & CLEARING :
CORPORATION and DEPOSITORY TRUST :
COMPANY, :

Defendants. :

:

----------X

JUDGE HAIGHT

07 CV 990

Civil Action No.

VERIFIED COMPLAINT

Plaintiff Olde Monmouth Stock Transfer Co., Inc., by and through its undersigned attorneys, hereby brings this action against Defendant Depository Trust & Clearing Corporation and Defendant Depository Trust Company, alleging violations of federal and New Jersey law and seeking immediate injunctive relief and monetary compensation for the incalculable damage Olde Monmouth has suffered and will continue to suffer because of Defendants' unconscionable and anticompetitive conduct against Olde Monmouth, which includes, among other causes of action, the improper restraint of trade and tortious interference with

prospective economic advantage. Defendants' premeditated campaign to drive Olde Monmouth out of business constitutes actionable violations of federal and state law.

THE PARTIES

1. Plaintiff Olde Monmouth Stock Transfer Co., Inc., is a corporation duly incorporated and authorized to conduct business under the laws of New Jersey, with its principal place of business located in Atlantic Highlands, New Jersey. Since January 9, 1992, Olde Monmouth Stock Transfer Co., Inc. ("Olde Monmouth") has been a stock transfer agent duly and properly registered with the United States Securities and Exchange Commission, pursuant to Section 17(A)(C) of the Securities Exchange Act of 1934. As such, Olde Monmouth acts as a transfer agent and registrar for the securities issued by its clients, which are companies the shares of which are publicly traded on the national securities exchanges and on the so-called stock trading "bulletin boards."

2. Defendant Depository Trust & Clearing Company ("DTCC") is a holding company that supports five principal subsidiaries, one of which is its wholly-owned Defendant Depository Trust Company ("DTC"). Both

Defendants are incorporated under the laws of the State of New York with their principal places of business located in New York City.

3. Defendant DTC provides central securities depository and related services to members of the securities, banking and other financial industries. Defendant DTC is a limited purpose trust company organized under the laws of the State of New York, a clearing agency registered with the United States Securities and Exchange Commission under Section 17A of the Securities Exchange Act of 1934, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, and a "clearing corporation" within the meaning of the New York Uniform Commercial Code.

4. At all times relevant hereto, Defendant DTCC bears shared responsibility for the unlawful and otherwise improper actions of Defendant DTC as a consequence of DTC's status as a wholly-owned subsidiary of DTCC.

5. As demonstrated by the fact that it is the stock custodian for some 2.5 million issuers, valued at more than $28 trillion, Defendant DTC enjoys a monopoly over the entire securities depository industry through, among other means, its Direct Registration System ("DRS"). DTC's DRS Program has been imposed upon and/or adopted by

virtually every major financial institution and broker/dealer and DRS participation is or will soon be a listing requirement for all of the major stock exchanges in the United States. From that monopolistic position, DTC is able to exert, and does exert, direct and indirect anticompetitive influences on the very closely related stock transfer agency industry by, among other means, its unlawful and arbitrary exclusion of certain stock transfer agents from eligibility for its FAST Program, participation in which is an essential prerequisite for participation in DTC's DRS Program.

JURISDICTION AND VENUE

6. This Court has subject matter jurisdiction under 28 U.S.C. § 1332 (diversity jurisdiction), 28 U.S.C. § 1331 (federal question jurisdiction), and 28 U.S.C. § 1367 (supplemental jurisdiction). Venue over this matter is proper under 28 U.S.C. § 1391(b)(1) because jurisdiction is not based solely on diversity and the Defendants reside in this judicial district.

7. In connection with the acts alleged herein, Defendants, directly or indirectly, used the means and instrumentalities of interstate commerce, including, but

not limited to, the mails, interstate telephone and electronic communications and the facilities of the national securities markets.

FACTS

8. As for the allegations advanced herein, Plaintiff Olde Monmouth makes such allegations based on personal knowledge wherever possible and, as to the remaining allegations herein, upon reasonable information and belief.

9. Plaintiff Olde Monmouth is a small, family-owned company that was founded by the family patriarch, Mr. John A. Troster, approximately 16 years ago. Mr. Troster's wife and all of his children work with him at the company to promote and steward into the next generation its long-term growth and prosperity as a family-owned enterprise.

10. Olde Monmouth is in the business of serving as the registrar and stock transfer agent for its clients. Plaintiff's clients are corporations, the shares of which are publicly traded on the national stock exchanges and on the so-called stock trading bulletin boards. As part of the provision of such services to its clients, Olde

Monmouth acts as its clients' transfer agent vis-à-vis Defendant Depository Trust Company; however, no written contract of any kind exists between Olde Monmouth and DTC.

11. Established in 1973, Defendant DTC is the largest central securities depository in the world, with custody of the securities of more than 2.5 million issuers valued at over $28 trillion. According to its official promotional and marketing materials, DTC aims to reduce costs and to enhance clearing and settlement efficiencies by reducing the need for the actual physical transfer of individual stock certificates. Through use of DTC, physical stock certificates are maintained (or "immobilized") in a central location, with changes in the ownership of such securities recorded by "book entry" accounting systems, pursuant to which no stock certificates actually change hands.

12. Defendant DTC provides settlement services for all stock trades made through the National Securities Clearing Corporation ("NSCC"), the largest clearing corporation now in existence, and for other institutional stock trades and transfers. Like DTC, NSCC is also a wholly-owned subsidiary of Defendant DTCC. According to its official promotional and marketing materials, DTC settled securities transactions worth $275.2 trillion in

2004. According to NSCC's official promotional and marketing materials, in 2004 it processed some 5.7 billion transactions, valued at $100.4 trillion.

13. Working and interacting with DTC each business day, Olde Monmouth keeps track of the constantly shifting ownership rolls of its customers' stock. The role Olde Monmouth plays as the intermediary between its clients, *i.e.*, the issuing companies, and DTC is critical to ensuring that accurate records are maintained of the actual day-to-day ownership of its customers' shares of stock as those securities are bought and sold on the national stock exchanges and through the stock trading bulletin boards.

14. As compensation for its professional services as the stock transfer agent for its clients, Olde Monmouth is paid transaction fees by its clients, as well as by DTC, pursuant to fee schedules that are established by Olde Monmouth. As noted earlier, there is no written contract in place between Plaintiff and DTC governing fees or any other matter. Accordingly, and in keeping with standard custom and practice within the stock transfer industry, Olde Monmouth from time to time revises its fee

structure as it determines to be justified by business circumstances and as it deems appropriate to remain competitive in the stock transfer industry.

15. At all times prior to the events complained of herein, Olde Monmouth enjoyed a cooperative and mutually beneficial relationship with Defendants; no disputes of any kind arose between them that were not satisfactorily resolved in timely fashion. This period of mutual benefit and cooperation lasted for over 15 years.

DTC Announces A Mandatory Program Called DRS (Direct Registration System) To Be Used Only By "FAST" Approved Transfer Agents

16. Early in 2006, DTC announced the mandatory implementation of a new electronic transfer system known as the DRS Program. DTC specifically stated that in order for any transfer agent to be eligible for participation in this new mandatory program, the transfer agent must first be approved for DTC's Fast Automated Securities Program ("FAST").

17. The purpose of the FAST Program is to eliminate the movement of physical securities (immobilization) by allowing stock transfer agents to hold one balance certificate for each issuing company, in lieu of issuing multiple stock certificates. The stated purpose

of the FAST Program is to reduce the cost of creating, transporting and storing stock certificates and generally to improve the efficiencies of the stock transfer industry.

18. Widely publicized by DTC as an important cost-saving technological advancement in the securities transfer industry, the FAST Program takes the form of a contractual arrangement governing the treatment of stock ownership records between DTC and those members of the stock transfer industry that are approved by DTC to participate in the FAST Program.

19. In several announcements and publications, DTC and other leading organizations in the securities industry, such as the Securities Industry Association, have made clear and emphasized the critical importance of FAST participation for all members of the securities industry, including stock transfer agents. (Relevant portions of an example of such industry publications, "The Securities Industry Immobilization & Dematerialization Implementation Guide," published by the Securities Industry Association, are attached as Exhibit B to the Declaration of Edward R. Gallion, Esq., sworn to February 5, 2007 ("Gallion Decl."), which is submitted herewith.) For example, DTC has stated that it "urges...Underwriters to pick a Transfer Agent that is a FAST Agent because Agents must qualify as FAST in

order to become DRS eligible." DTC also has publicized the fact that "DTCC recently sent letters to all Underwriters alerting them to the Rule changes and providing a list of current DRS eligible Transfer Agents." DTC's DRS Program has been imposed upon and/or adopted by virtually every major financial institution and broker/dealer. Moreover, DRS participation is or will soon be a listing requirement for all of the major stock exchanges in the United States. As noted earlier herein, under the rules and conditions imposed by DTC, no transfer agent can be eligible for DRS participation unless that agent has been permitted by DTC to participate in DTC's FAST Program.

20. DTC's widespread dissemination of the mandatory nature of its DRS Program throughout the securities, broker/dealer and financial services industries includes, but is not limited to, the publication on the official DTCC/DTC Web site of a list of institutions that already have been approved by DTC as DRS-eligible. Not one small, family-owned stock transfer agency appears among the list of DRS-eligible entities, which is made up entirely of huge full-service financial behemoths and major multinational corporations, such as ChaseMellon, The Bank of New York, Citibank, HSBC Bank, Wells Fargo Bank, and the like; according to Defendants' official list, even The Walt

Disney Company has been certified by DTC as DRS-eligible. (A copy of the list of DRS-eligible entities as it appears on the official DTCC/DTC Web site is attached as Exhibit C to the Gallion Declaration, which is submitted herewith.)

21. In fact, Plaintiff Olde Monmouth recently has begun to receive unsolicited offers from third parties offering their services as "DRS experts" to assist those businesses not yet approved for DRS participation. One such solicitation, which arrived at Olde Monmouth's offices by electronic mail, begins: "I've noticed your business is not yet qualified to offer the Direct Registration System to your clients." (A copy of this electronic mail solicitation is attached as Exhibit D to the Gallion Declaration, which is submitted herewith.) The exact extent of the chilling effects on Plaintiff's business activities from the widespread dissemination by Defendants of such exclusionary lists of DRS-eligible entities is at this point impossible to ascertain.

22. As demonstrated below, however, despite Olde Monmouth's repeated and concerted efforts to participate in the FAST Program, DTC unreasonably and arbitrarily has refused to allow Olde Monmouth to participate in this important and mandatory program.

Olde Monmouth's Unsuccessful Efforts to Enroll in FAST

23. Realizing the critical importance of the FAST Program to its clients, Olde Monmouth immediately contacted DTC to obtain the requisite application materials. Most of Olde Monmouth's customers are small companies to whom the potential for the cost savings to be realized by the efficiencies inherent in the FAST Program would be of great value.

24. Participation in the FAST Program is of such critical importance to Olde Monmouth that if it is not permitted to join, it will be unable to retain existing clients or to attract new customers, thereby causing irreparable harm to Olde Monmouth.

25. Over the course of the ensuing few weeks, Olde Monmouth made numerous attempts to learn from DTC the steps that would be required to become a participant in the FAST Program. Despite these many overtures by Olde Monmouth, however, Defendant DTC inexplicably refused to share any additional information about the FAST Program with Olde Monmouth and, in fact, either ignored or rebuffed Olde Monmouth's repeated and numerous attempts to apply for participation in the FAST Program. Despite its best efforts, Olde Monmouth was unable to communicate with any

DTC representative about its surprising and inexplicable refusal to allow Olde Monmouth to apply to participate in the FAST Program.

26. Because all of its initial requests to obtain the necessary application materials for participation in DTC's FAST Program were ignored by DTC, in March 2006 Plaintiff began telephoning DTC approximately two times each week in an attempt to secure an application package. After several weeks of repeated telephone calls to DTC, Olde Monmouth finally obtained the FAST application materials.

27. Upon its receipt, Olde Monmouth immediately completed and returned the FAST Program application form to DTC on May 19, 2006.

28. On June 22, 2006, Olde Monmouth was informed by letter from DTC that: "DTC has determined not to use your services as a FAST agent." (A copy of the June 22, 2006 letter from DTC is attached as Exhibit E to the Gallion Declaration, which is submitted herewith.) DTC purported to excuse its unreasonable refusal to permit Olde Monmouth's enrollment in the FAST Program on the basis of several minor deficiencies that in the past had been cited by the Securities and Exchange Commission, despite the fact that, in the case of each such "deficiency," Olde Monmouth

had immediately addressed and cured each of the cited conditions to the satisfaction of the Securities and Exchange Commission.

29. Several days after learning of its rejection by DTC, on July 5, 2006, Olde Monmouth's outside counsel, Mr. Richard Fox, wrote to DTC requesting additional information and clarification concerning its refusal to permit Olde Monmouth's participation in the FAST program. (A copy of Mr. Fox's July 5, 2006 letter is attached as Exhibit F to the Gallion Declaration, which is submitted herewith.) DTC never responded.

30. Realizing that its very existence as an ongoing business enterprise was placed in jeopardy by DTC's unreasonable and arbitrary refusal to address Olde Monmouth's need to participate in the FAST Program, over the next few months Plaintiff in good faith undertook a lengthy series of extraordinary steps to convince DTC of its complete and total compliance with all of the FAST program's requirements and to ascertain from DTC the reason for its arbitrary refusal to allow Olde Monmouth's participation -- none of which was successful. Such extraordinary good faith steps included the following:

(a) Plaintiff voluntarily implemented greatly enhanced on-site security measures to improve the

security of its customers' stock certificates that far exceeded SEC requirements. At the invitation of Olde Monmouth, DTC inspected Plaintiff's premises but has never commented on its inspection in any manner.

(b) In addition to correspondence from its attorney, Olde Monmouth continued to place frequent telephone calls to DTC as part of its diligent and conscientious attempts to ascertain whether there might be any plausible justification for DTC's unreasonable and unfair exclusion of Olde Monmouth from the FAST Program. On September 7, 2006, Isaac Montal, Esq., of DTC's Legal Department, telephoned Olde Monmouth to admonish it against any further inquiries and to promise that it would receive notification of DTC's disposition of its application request a few weeks thereafter.

(c) In connection with the approval of its enrollment in a separate program initiative sponsored by DTC, the "Paperless Legal Transfer Program," Olde Monmouth sought the assistance of its DTC contact person on that new program to help with its problems in obtaining enrollment in the FAST Program, who promised to look into the matter on behalf of Olde

Monmouth. Olde Monmouth has never received any response to its request.

(d) Mr. Fox once again wrote to DTC's Legal Department on October 13, 2006, to reiterate Olde Monmouth's express willingness and determination to cooperate fully with DTC to address and remedy any issues that DTC might have with respect to Olde Monmouth's participation in the FAST program: "If there are any deficiencies, and they are communicated, my client [Olde Monmouth] will take every step necessary to comply." Mr. Fox also reiterated Olde Monmouth's request for a face-to-face meeting with DTC representatives to resolve the matter. (A copy of Mr. Fox's letter of October 13, 2006, is attached as Exhibit G to the Gallion Declaration, which is submitted herewith.)

(e) Olde Monmouth paid to retain the professional services and assistance of Susanne Trimbath, Ph.D., the CEO of STP Advisors, a firm that provides advisory services to the stock transfer industry. Because Ms. Trimbath is a former senior-level employee of DTC, Olde Monmouth hoped that by retaining her services, she might be able to provide some insight into DTC's unfair and arbitrary conduct

with respect to Plaintiff's FAST Program application and open some type of communication or dialog with DTC officials. Instead of communicating about the status of Olde Monmouth's application, Mr. Montal, of DTC's Legal Department, responded angrily to the very fact of Ms. Trimbath's involvement. As a direct consequence of Mr. Montal's angry reaction, Olde Monmouth immediately severed its relationship with Ms. Trimbath in the hope of placating DTC and obviating any further difficulties with Mr. Montal, who appeared to be coordinating DTC's response to Plaintiff's FAST Program application.

(f) Upon receipt from Mr. Montal of DTC's Proposed Rule Change No. SR 2006-16, Olde Monmouth set out immediately to comply fully with all of the various provisions of the Proposed Rule. In less than one month, although the proposed rule change ultimately would be challenged by the securities industry as overly stringent and unduly burdensome, Plaintiff had completed the steps necessary to be totally compliant with all of the provisions of the Proposed Rule and provided full documentation to Mr. Montal of Plaintiff's complete compliance with the Proposed Rule on an item-by-item basis.

(g) Upon being orally informed by DTC's Montal on November 27, 2006, that one of the only two remaining impediments to approval of Olde Monmouth's FAST Program application related to a purported "confiscation" of China Aoxing securities in August 2005, Plaintiff immediately provided DTC with clear documentary proof that the so-called "confiscation" was, instead, a *rejection* of the China Aoxing securities that was entirely proper and appropriate under the circumstances. (The second issue raised by Mr. Montal related to Olde Monmouth's fee schedule. That matter is addressed in detail herein, *infra*.)

(h) Having obtained oral assurances from DTC's Montal to Mr. Fox that Olde Monmouth had met all of the requirements imposed by Proposed Rule Change No. SR 2006-16, Plaintiff agreed on December 27, 2006, to establish a lower fee schedule going forward on the condition that Olde Monmouth's FAST program application was approved by January 1, 2007.

(i) In yet another attempt to establish some type of constructive dialog with DTC about its unreasonable and arbitrary refusal either to allow Olde Monmouth to enroll in the FAST Program or to explain DTC's reasons for its arbitrary exclusion of

Plaintiff therefrom, Olde Monmouth's President, Mr. John C. Troster, prepared and sent additional correspondence to address these issues. Mr. Troster's letter, dated January 25, 2007, was directed to Larry Thompson, Esq., the General Counsel of DTC's parent entity, Defendant DTCC, and it clearly recounted in detail the lengthy and tortured history of Olde Monmouth's diligent and conscientious efforts to secure admission to the FAST Program, and DTC's consistently unreasonable and arbitrary refusal to participate in any meaningful communications with Olde Monmouth about the status of its FAST Program application. Mr. Troster also informed DTCC's Thompson of the existence of improper and tortious communications initiated by DTC employees Isaac Montal and John Carvalho to Olde Monmouth's clients, the details of which are elaborated upon herein below. Mr. Troster deliberately directed this communication to the General Counsel of DTC's parent company because of DTC's inexplicable intransigence and because Mr. Troster hoped that Thompson, as Mr. Montal's superior, might be able to facilitate a resolution and prevent further tortious conduct vis-à-vis Olde Monmouth's clients. (A copy of Mr. Troster's letter of January

25, 2007, is attached as Exhibit H to the Gallion Declaration, which is submitted herewith.)

31. Plaintiff's offer to revert to a prior fee schedule for its charges stemmed from the fact that, because DTC had totally ignored and rebuffed all of Olde Monmouth's attempts to obtain clarification of Defendant's unreasonable refusal to permit Olde Monmouth's enrollment in the FAST Program, Olde Monmouth implemented an increase in the fees it charged for its stock transfer services. The first such fee increase became effective in late July 2006.

32. Plaintiff's decision to raise its fees was motivated solely by its desire to prod DTC to discuss and process Olde Monmouth's FAST application and to compensate it for its loss of business and its inability to attract new clients as a direct result of DTC's unreasonable rejection of its FAST application. In addition, on several occasions, Olde Monmouth expressly promised DTC that it would revert to its former fee schedule upon its acceptance as a full participant in the FAST Program.

33. At all times during its relationship with DTC, Olde Monmouth has remained entirely free unilaterally to determine its fee structure inasmuch as, among other

things, no written contract has ever been in place between DTC and Olde Monmouth governing fees.

DTC'S Tortious Interference With Olde Monmouth's Business

34. As noted above, Defendant DTC's arbitrary and unreasonable exclusion of Olde Monmouth from the implementation of the FAST Program has continued unabated for nearly an entire year -- since the time of Olde Monmouth's initial inquiries to DTC about the program in March 2006. However, DTC's apparent determination to drive Olde Monmouth out of business eventually (and recently) began to take on a new dimension: On more than one occasion, DTC has instigated communications with Olde Monmouth's clients with the obvious intent of disrupting and ultimately causing the termination of Olde Monmouth's business relationships with its clients.

35. As one example of such tortious and anticompetitive interference with Plaintiff's business operations, DTC initiated a telephone call to one of Plaintiff's clients, PAID, Inc. ("PAID") on January 17, 2007. Among the DTC employees who actively participated in this communication with PAID was Mr. Montal, of DTC's Legal Department. As part of this telephone call, DTC (i) complained to PAID about the fees Olde Monmouth was

charging DTC, (ii) brazenly intimated to PAID's representative that DTC might "chill" or otherwise disrupt PAID's stock transfer activities with DTC, and (iii) suggested that it would be advantageous to PAID to consider availing itself of the services of a stock transfer agent other than Olde Monmouth.

36. Several days thereafter, on January 26, 2007, DTC initiated a similarly threatening telephone call to another Olde Monmouth client, ERF Wireless Company ("ERF Wireless"), again with the active participation of Mr. Montal of DTC's Legal Department. During this conversation, DTC brazenly intimated to ERF Wireless that DTC might "chill" or otherwise disrupt ERF Wireless' stock transfer activities with DTC and suggested to ERF Wireless that it would be advantageous to ERF Wireless to consider availing itself of the services of a stock transfer agent other than Olde Monmouth.

37. ERF Wireless employee Clareen O'Quinn soon thereafter reported to Olde Monmouth the substance of her conversation with DTC. While Ms. O'Quinn reaffirmed ERF Wireless' satisfaction with its relationship with Olde Monmouth and its general desire to continue to use Olde Monmouth's services, she made clear that ERF Wireless required its stock transfer agent to be able to participate

in DTC's electronic transfer programs, such as the FAST initiative, and that her company would be unable to continue to do business with Olde Monmouth unless it was approved for participation in DTC's electronic transfer programs. Ms. O'Quinn also expressly conditioned her company's continued use of Olde Monmouth on its ability to participate in DTC's electronic transfer programs no later than by mid-February 2007.

38. The intentional and malicious communications initiated by Defendant DTC described above have come to Olde Monmouth's attention solely because the customer involved was motivated to share that information with Olde Monmouth. It is impossible to estimate the number of other Olde Monmouth clients and potential future clients that DTC may have contacted in similar fashion who simply have not taken the time to inform Olde Monmouth of DTC's tortious conduct for whatever reason including, but not limited to, the fear of possible retaliation by DTC.

39. On many recent occasions, Olde Monmouth has received in the regular course of its business unsolicited inquiries from issuers in search of a stock transfer agent who have immediately terminated their inquiries upon learning that DTC has unilaterally excluded Olde Monmouth from participation in the FAST Program.

40. It also is impossible to estimate the extent to which DTC and such issuers have publicized DTC's exclusion of Olde Monmouth from the FAST Program to the vast stock issuing community at large and the concomitant direct and indirect chilling effects on interstate and New Jersey commerce, including reducing the number of new clients that Olde Monmouth otherwise would have attracted in the absence of such widespread dissemination.

AS AND FOR PLAINTIFF'S FIRST CAUSE OF ACTION

FEDERAL ANTITRUST

(VIOLATIONS OF SECTION 2 OF THE SHERMAN ACT --

ACTUAL MONOPOLIZATION)

A. NATURE OF TRADE AND COMMERCE

41. Plaintiff hereby incorporates all of the allegations set forth herein above by reference as if set forth in full at this point.

42. As demonstrated *supra*, Defendant DTC enjoys a monopoly over the entire securities depository industry through, among other means, its Direct Registration System ("DRS"), which has been imposed upon and/or adopted by virtually every major financial institution and broker/dealer. In addition, participation in DTC's DRS

Program is or soon will be a listing requirement for all of the major stock exchanges in the United States. From that monopolistic position, DTC is able to exert, and does exert, direct and indirect anticompetitive influences on the very closely related stock transfer agency industry by, among other means, its unlawful and arbitrary exclusion of certain stock transfer agents from eligibility for its FAST Program, participation in which is an essential prerequisite for participation in DTC's DRS Program.

43. The relevant market in each antitrust claim alleged herein below is the market for stock transfer agent services. The relevant geographic market in each antitrust claim alleged herein below includes, but is not limited to, the United States.

44. For all the reasons set forth above in Plaintiff's allegations concerning the background of the relevant industry and for other reasons, there is a distinct market for stock transfer agent services in the United States. Herein below Plaintiff will refer to that market as the "Relevant Market" and services within that market will be referred to as the "Relevant Services."

45. Since March 2006 until the date hereof (the "Relevant Time"), DTC's misconduct has threatened, and

continues to threaten, to drive Olde Monmouth and other similarly excluded stock transfer agents out of business.

46. During the Relevant Time, DTC affected the market for Relevant Services in the Relevant Market, directly and substantially affecting interstate commerce in violation of Sections 1 and 2 of the Sherman Act.

B. MISCONDUCT

47. During the Relevant Time, and continuing through the present day, DTC has engaged in an ongoing course of conduct with the purpose and effect of impairing Olde Monmouth's ability to compete in the Relevant Market vis-à-vis the performance of the Relevant Services. This course of conduct was designed to allow, and has the effect of allowing, DTC to maintain its virtual monopolistic power and influence within the Relevant Market. This course of conduct includes, but is not limited to, the following:

a. DTC has continued to require FAST registration in order to be permitted to provide the Relevant Services within the Relevant Market.

b. During the Relevant Time, DTC has intentionally and maliciously attempted to persuade Olde Monmouth's existing customers and potential future customers not to do business with Olde Monmouth, and has

threatened retaliaton if they use, or continue to use, Olde Monmouth's services.

c. DTC has threatened not to allow Olde Monmouth to perform services for its current and potential customers. Some customers have explicitly stated that they do not understand why DTC is coercing them to abandon Olde Monmouth. In doing so, DTC has acted for the purpose of foreclosing Olde Monmouth's access to the Relevant Market and crippling its ability to compete with DTC to the detriment of Olde Monmouth and interstate commerce.

d. During the Relevant Time, DTC has engaged in an ongoing course of conduct to disparage Olde Monmouth's services to actual and potential customer in order to cause such third parties not to do business with Olde Monmouth for the purpose of foreclosing its access to the Relevant Market and ability to compete in the Relevant Market to the detriment of Old Monmouth and interstate commerce.

C. EFFECTS OF MISCONDUCT

48. DTC's conduct, as alleged above, has produced or maintained monopolistic power and influence for DTC in the Relevant Market. DTC has deliberately and purposefully sought to secure such power and influence so that it may, *inter alia*, unilaterally exclude companies,

including Olde Monmouth, and to raise prices at its will, all in violation of Section 2 of the Sherman Act (15 U.S.C. Section 2).

49. The course of action alleged herein was intended to and has had the following specific injurious effects:

a. The consuming public will be denied the benefits of free and open competition in the Relevant Market;

b. Competing companies engaged in the marketing and selling of Relevant Services will be crippled in their ability to compete in the Relevant Market, with the probable effect that consumer choice will be limited and prices will be increased, all to the detriment of the consuming public;

c. Plaintiff and others similarly situated have been and will continue to be foreclosed from the opportunity to compete in the Relevant Market; and

d. DTC will maintain monopolistic power and influence in the Relevant Market with the power to exclude competition and raise prices.

D. ANTICOMPETITIVE HARM

50. By reason of the foregoing, Olde Monmouth and the public have suffered competitive injury, i.e., injury resulting directly from a reduction in the vigor of the competitive process in the Relevant Market. This injury consists of being virtually foreclosed from the opportunity of competing in the Relevant Market, and the revenue and profits that would have been realized as part of that competitive process. Moreover, but for the illegal conduct described herein, the value of Plaintiff's enterprise as an ongoing business concern would have continued to increase, whereas the current value of Plaintiff's enterprise is greatly reduced relative to what it would have been in the absence of such illegal conduct. Plaintiff does not now know the precise amount of its damages proximately caused by the conduct described herein, which are thus subject to proof at trial or other appropriate proceeding. Under Section 4 of the Clayton Act, Plaintiff is entitled to treble the actual amount of all such damages and to an award of reasonable attorneys' fees and costs.

AS AND FOR PLAINTIFF'S SECOND CAUSE OF ACTION

FEDERAL ANTITRUST

(VIOLATIONS OF SECTION 2 OF THE SHERMAN ACT --

ATTEMPTED MONOPOLIZATION)

51. Olde Monmouth hereby incorporates all of the allegations set forth herein above by reference as if set forth at this point in full.

52. DTC's misconduct threatens to drive Olde Monmouth out of business. DTC undertook this misconduct with the specific intent to achieve monopolistic influence and power in the Relevant Market.

53. The plan and course of action alleged herein poses a dangerous probability of inflicting the following specific injurious effects:

a. The consuming public will be denied the benefits of free and open competition for Relevant Services in the Relevant Market;

b. Competing companies engaged in the performance of Relevant Services will have their ability to compete crippled, with the probable effect that consumer choice will be limited and prices will be increased, all to the detriment of the consuming public;

c. Plaintiff and others similarly situated have been and will continue to be foreclosed from the opportunity to compete in the Relevant Market; and

d. There is a dangerous probability that DTC will obtain monopolistic power and influence in the Relevant Market with the power to exclude competition and raise prices.

54. Plaintiff does not now know the precise amount of its damages proximately caused by the conduct described herein, which are thus subject to proof at trial or other appropriate proceeding. Under Section 4 of the Clayton Act, Plaintiff is entitled to treble the actual amount of all such damages and to an award of reasonable attorneys' fees and costs.

AS AND FOR PLAINTIFF'S THIRD CAUSE OF ACTION

FEDERAL ANTITRUST

(VIOLATIONS OF SECTION 1 OF THE SHERMAN ACT --

ATTEMPTED MONOPOLIZATION)

55. Olde Monmouth hereby incorporates all of the allegations set forth herein above by reference as if set forth at this point in full.

56. During the Relevant Time, DTC has had market power in the Relevant Market sufficient to constrain consumer choice among sellers in that market.

57. In undertaking the conduct alleged above with respect to actual and potential customers of Olde Monmouth, DTC coerced and/or attempted to coerce such third parties into forming a combination, contract, or conspiracy with DTC for the purpose of furthering DTC's anticompetitive scheme to restrain trade in the relevant market.

58. The anticompetitive scheme had the actual adverse effect of unreasonably restraining trade in the Relevant Market in the following respects:

a. The consuming public was denied the benefits of free and open competition in the performance of Relevant Services in the Relevant Market;

b. Competing companies engaged in the marketing and selling of such services throughout the United States had their ability to compete crippled, with the consequence that consumer choice was limited, all to the detriment of the consuming public; and

c. Plaintiff and others similarly situated have been and will continue to be foreclosed from the opportunity to compete in the Relevant Market.

59. Plaintiff does not now know the precise amount of its damages proximately caused by the conduct described herein, which are thus subject to proof at trial or other appropriate proceeding. Under Section 4 of the Clayton Act, Plaintiff is entitled to treble the actual amount of all such damages and to an award of reasonable attorneys' fees and costs.

AS AND FOR PLAINTIFF'S FOURTH CAUSE OF ACTION

STATE ANTITRUST

(VIOLATIONS OF SECTION 9-4 OF THE NEW JERSEY ANTITRUST ACT ACTUAL MONOPOLIZATION)

A. NATURE OF TRADE AND COMMERCE

60. Plaintiff hereby incorporates all of the allegations set forth herein above by reference as if set forth in full at this point.

61. The relevant market in each antitrust claim alleged herein below is the market for stock transfer agent services in New Jersey. The relevant geographic market in each antitrust claim alleged herein below includes, but is not limited to, New Jersey.

62. For all the reasons set forth above in Plaintiff's allegations concerning the background of the relevant industry and for other reasons, there is a distinct market for stock transfer agent services in New Jersey. Herein below Plaintiff will refer to that market as the "Relevant New Jersey Market" and services within that market will be referred to as the "Relevant New Jersey Services."

63. Since March 2006 until the date hereof (the "Relevant Time"), DTC's misconduct has threatened, and continues to threaten, to drive Olde Monmouth and other stock transfer agents out of business.

64. During the Relevant Time, DTC affected the market for Relevant New Jersey Services in the Relevant New Jersey Market, directly and substantially affecting interstate commerce in violation of Sections 9-3 and 9-4 of the New Jersey Antitrust Act.

B. MISCONDUCT

65. During the Relevant Time, and continuing through the present day, DTC has engaged in an ongoing course of conduct with the purpose and effect of impairing Olde Monmouth's ability to compete in the Relevant New Jersey Market vis-à-vis the performance of the Relevant New Jersey Services. This course of conduct was designed to

allow, and has the effect of allowing, DTC to maintain its virtual monopolistic influence within the Relevant New Jersey Market. This course of conduct includes, but is not limited to, the following:

a. DTC has continued to require FAST registration to provide the Relevant New Jersey Services within the Relevant New Jersey Market;

b. During the Relevant Time, DTC has intentionally and maliciously attempted to persuade Olde Monmouth's existing customers and potential future customers not to do business with Olde Monmouth, and has threatened retaliation if they use, or continue to use, Olde Monmouth's services;

c. DTC has threatened not to allow Olde Monmouth to perform services for its current and potential customers. Some customers have explicitly stated that they do not understand why DTC is coercing them to abandon Olde Monmouth. In doing so, DTC has acted for the purpose of foreclosing Olde Monmouth's access to the Relevant New Jersey Market and crippling its ability to compete in the Relevant New Jersey Market to the detriment of Olde Monmouth and New Jersey commerce;

d. During the Relevant Time, DTC has engaged in an ongoing course of conduct to disparage Olde

Monmouth's services to actual and potential customers in order to cause such third parties not to do business with Olde Monmouth for the purpose of foreclosing its access to the Relevant New Jersey Market and ability to compete in the Relevant New Jersey Market to the detriment of Old Monmouth and New Jersey commerce.

C. EFFECTS OF MISCONDUCT

66. DTC's conduct, as alleged above, has produced or maintained monopolistic power and influence for DTC in the Relevant New Jersey Market. DTC has deliberately and purposefully sought to secure such power and influence so that it may, *inter alia*, unilaterally exclude participants in the Relevant New Jersey Market, including Olde Monmouth, and to raise prices at its will, all in violation of Section 9-4 of the New Jersey Antitrust Act (56 N.J.S.A. Section 9-4).

67. The course of action alleged herein was intended to and has had the following specific injurious effects:

a. The consuming public will be denied the benefits of free and open competition in the Relevant New Jersey Market;

b. Competing companies engaged in the marketing and selling of Relevant New Jersey Services will be crippled in their ability to compete in the Relevant New Jersey Market, with the probable effect that consumer choice will be limited and prices will be increased, all to the detriment of the consuming public;

c. Plaintiff and others similarly excluded have been foreclosed and will continue to be foreclosed from the opportunity to compete in the Relevant New Jersey Market; and

d. DTC will maintain monopolistic power and influence in the Relevant New Jersey Market with the power to exclude competition and raise prices.

D. ANTICOMPETITIVE HARM

68. By reason of the foregoing, Olde Monmouth has suffered competitive injury, i.e., injury resulting directly from a reduction in the vigor of the competitive process in the Relevant New Jersey Market. This injury consists of being virtually foreclosed from the opportunity of competing in the Relevant New Jersey Market, and the revenue and profits that would have been realized as part of that competitive process. Moreover, but for the illegal conduct described herein, the value of Plaintiff's enterprise as an ongoing business concern would have

continued to increase, whereas the current value of Plaintiff's enterprise is greatly reduced relative to what it would have been in the absence of such illegal conduct. Plaintiff does not now know the precise amount of its damages proximately caused by the conduct described herein, which are thus subject to proof at trial or other appropriate proceeding. Under Section 9-12 of the New Jersey Antitrust Act, Plaintiff is entitled to treble the actual amount of all such damages and to an award of reasonable attorneys' fees and costs.

AS AND FOR PLAINTIFF'S FIFTH CAUSE OF ACTION

STATE ANTITRUST

(VIOLATIONS OF SECTION 9-4 OF THE NEW JERSEY ANTITRUST ACT ATTEMPTED MONOPOLIZATION)

69. Olde Monmouth hereby incorporates all of the allegations set forth herein above by reference as if set forth at this point in full.

70. DTC's misconduct threatens to drive Olde Monmouth out of business. DTC undertook this misconduct with the specific intent to achieve monopolistic influence and power in the Relevant New Jersey Market.

71. The plan and course of action alleged herein poses a dangerous probability of inflicting the following specific injurious effects:

a. The consuming public will be denied the benefits of free and open competition for Relevant New Jersey Services in the Relevant New Jersey Market;

b. Competing companies engaged in the performance of Relevant New Jersey Services will have their ability to compete crippled, with the probable effect that consumer choice will be limited and prices will be increased, all to the detriment of the consuming public;

c. Plaintiff and others similarly situated have been and will continue to be foreclosed from the opportunity to compete in the Relevant New Jersey Market; and

d. There is a dangerous probability that DTC will obtain monopolistic power and influence in the Relevant New Jersey Market with the power to exclude competition and raise prices.

72. Plaintiff does not now know the precise amount of its damages proximately caused by the conduct described herein, which are thus subject to proof at trial or other appropriate proceeding. Under Section 9-12 of the

New Jersey Antitrust Act, Plaintiff is entitled to treble the actual amount of all such damages and to an award of reasonable attorneys' fees and costs.

AS AND FOR PLAINTIFF'S SIXTH CAUSE OF ACTION

STATE ANTITRUST

(VIOLATIONS OF SECTION 9-3 OF THE NEW JERSEY ANTITRUST ACT ATTEMPTED MONOPOLIZATION)

73. Olde Monmouth hereby incorporates all of the allegations set forth herein above by reference as if set forth at this point in full.

74. During the Relevant Time, DTC has had market power in the Relevant New Jersey Market sufficient to constrain consumer choice among sellers in that market.

75. In undertaking the conduct alleged herein above with respect to actual and potential customers of Olde Monmouth, DTC has coerced and/or attempted to coerce such third parties into forming a combination, contract, or conspiracy with DTC for the purpose of furthering DTC's anticompetitive scheme to restrain trade in the relevant market.

76. The anticompetitive scheme had the actual adverse effect of unreasonably restraining trade in the Relevant Market in the following respects:

a. The consuming public was denied the benefits of free and open competition in the performance of Relevant New Jersey Services in the Relevant New Jersey Market;

b. Competing companies engaged in the marketing and selling of such services throughout New Jersey had their ability to compete crippled, with the consequence that consumer choice was limited, all to the detriment of the consuming public; and

c. Plaintiff and others similarly situated have been and will continue to be foreclosed from the opportunity to compete in the Relevant New Jersey Market.

77. Plaintiff does not now know the precise amount of its damages proximately caused by the conduct described herein, which are thus subject to proof at trial or other appropriate proceeding. Under Section 9-12 of the New Jersey Antitrust Act, Plaintiff is entitled to treble the actual amount of all such damages and to an award of reasonable attorneys' fees and costs.

AS AND FOR PLAINTIFF'S SEVENTH CAUSE OF ACTION

STATE COMMON LAW

TORTIOUS INTERFERENCE WITH PROSPECTIVE ECONOMIC ADVANTAGE

78. Olde Monmouth hereby incorporates all of the allegations set forth herein above by reference as if set forth at this point in full.

79. As alleged above, Olde Monmouth had various actual and potential customers, with whom it held a reasonable prospective economic advantage in that Olde Monmouth reasonably could expect to sell its services to these entities to the benefit of Olde Monmouth.

80. DTC knew of these prospective economic relationships between Olde Monmouth and its actual and potential customers. With the intent to interfere with and induce the termination of those relationships, DTC engaged in the conduct alleged above, including threatening such third parties and falsely disparaging Olde Monmouth.

81. As a proximate result of the conduct alleged herein, these actual and potential customers terminated or are contemplating the termination of their prospective economic relationships with Olde Monmouth and did not do further business with Olde Monmouth. Plaintiff does not now know the precise amount of its damages proximately

caused by the conduct described herein, which are thus subject to proof at trial or other appropriate proceeding.

82. DTC undertook the conduct alleged herein with malice and solely to injure Olde Monmouth. Further, DTC undertook the conduct alleged in this claim for relief oppressively and maliciously. Olde Monmouth is thus entitled to punitive and exemplary damages in an amount subject to proof at trial or other appropriate proceeding.

PRAYER FOR RELIEF

By reason of all of the foregoing, Plaintiff hereby prays that this Court adjudge and decree:

1. That judgment be entered against Defendants for the amount of damages suffered by Plaintiff, as proven at trial or other appropriate proceeding, and for punitive and exemplary damages, as well as treble damages;

2. That a permanent injunction be granted, prohibiting the Defendants from engaging in further activities that would exacerbate or perpetuate the effects of its anticompetitive conduct;

3. Granting injunctive relief requiring Defendant DTC to enroll Olde Monmouth in its FAST Program; and

4. For such other and further relief as the Court deems just and proper to be awarded.

DEMAND FOR JURY TRIAL

Plaintiff Olde Monmouth hereby demands trial by jury.

Dated: February 7, 2007
New York, New York

GALLION & SPIELVOGEL

By: _____
Edward R. Gallion (EG-5755)
Steven Spielvogel (SS-2295)

1225 Franklin Avenue
Suite 325
Garden City, New York 11530
516.512.8899

VERIFICATION OF JOHN C. TROSTER

STATE OF NEW JERSEY)
: ss:
COUNTY OF _____)

I, John C. Troster, being duly sworn, depose and say that I have read and reviewed the attached Verified Complaint and that the contents of said Verified Complaint are true and accurate to the best of my personal knowledge.

John C. Troster
President
Olde Monmouth Stock Transfer Co., Inc.

Dated: February 5, 2007
Atlantic Highlands, New Jersey

STATE OF NEW JERSEY)
: ss:
COUNTY OF MONMOUTH)

On the 5 day of February 2007, before me, the undersigned, personally appeared JOHN C. TROSTER, personally known to me or proved to me on the basis of satisfactory evidence to be the individual whose name is subscribed to in the within Verification and acknowledged to me that the executed same on behalf of Olde Monmouth Stock Transfer Co., Inc., in his capacity as President.

Rose A Kubik
Notary Public

My commission expires:

ROSE A. KUBIK
NOTARY PUBLIC OF NEW JERSEY
My Commission Expires 10/04/11